

CONCLUSION: Whether better management could have saved the Penn Central bankruptcy may be arguable. But there is no doubt whatever that no bonds and no shares of the Penn Central system should have remained after 1968 at the latest in any securities account watched over by competent security analysts, fund managers, trust officers, or investment counsel. *Moral:* Security analysts should do their elementary jobs before they study stock-market movements, gaze into crystal balls, make elaborate mathematical calculations, or go on all-expense-paid field trips.[†]

Ling-Temco-Vought Inc.

This is a story of head-over-heels expansion and head-overheels debt, ending up in terrific losses and a host of financial problems. As usually happens in such cases, a fair-haired boy, or “young genius,” was chiefly responsible for both the creation of the great empire and its ignominious downfall; but there is plenty of blame to be accorded others as well.[†]

The rise and fall of Ling-Temco-Vought can be summarized by setting forth condensed income accounts and balance-sheet items for five years between 1958 and 1970. This is done in Table 17-1. The first column shows the company’s modest beginnings in 1958, when its sales were only \$7 million. The next gives figures for 1960; the enterprise had grown twentyfold in only two years, but it was still comparatively small. Then came the heyday years to 1967 and 1968, in which sales again grew twentyfold to \$2.8 billion with the debt figure expanding from \$44 million to an awesome \$1,653 million. In 1969 came new acquisitions, a further huge increase in debt (to a total of \$1,865 million!), and the beginning of serious trouble. A large loss, after extraordinary items, was reported for the year; the stock price declined from its 1967 high of 169½ to a low of 24; the young genius was superseded as the head of the company. The 1970 results were even more dreadful. The enterprise reported a final net loss of close to \$70 million; the stock fell away to a low price of 7 1/8, and its largest bond issue was quoted at one time at a pitiable 15 cents on the dollar. The company’s expansion policy was sharply reversed, various of its important interests were placed on the market, and some headway was made in reducing its mountainous obligations.

The figures in our table speak so eloquently that few comments are called for. But here are some: